

to study, negotiate, and purchase his Porsche. How much time and effort does it take someone to place money in a pension plan? A small fraction of this time and energy. It is easy for Dr. South to say he wants to accumulate wealth, but his actions speak much louder than his words. Perhaps that explains why he has lost a considerable amount of wealth through imprudent investing. Investing when one has little or no intellectual basis for one's decisions often translates into major losses.

THE NORTH METHOD

Dr. North is not a connoisseur of motor vehicles, although he is price-sensitive when making purchasing decisions. We asked Dr. North about his most recent automobile purchase. Remember that Dr. South's most recent purchase was the current year's model. Note that fewer than 25 percent of America's millionaires are driving the current year's model. And, of course, Dr. South is not a millionaire.

Dr. North proudly informed us that he purchased his most recent automobile six years ago. We anticipate your question: Do you mean he has not purchased a new automobile in six years? Not only has Dr. North not purchased a *new* automobile in six years, but the one he purchased six years ago was a three-year-old Mercedes-Benz 300 that he bought for \$35,000.

Dr. North loves the car: great price, excellent fuel economy—"It's a diesel." And, of course, diesel Mercedes often can last for hundreds of thousands of miles before they need an overhaul. It also has classic styling.

How much time and energy did Dr. North expend in purchasing his Mercedes? Let's examine his decision-making process. First, he decided that he needed to replace his "old car." After all, it was twenty years old. He knew that many European luxury automobiles depreciate rapidly during the first three years following their initial purchase. So he figured that he might be able to save a considerable amount if he purchased a three-year-old Mercedes Benz.

He confirmed this speculation by determining the original retail price of the model he was interested in purchasing. A quick trip to a local dealer was all that was required to gain this knowledge. Dr. North then decided that his best choice would be a three-year-old model. He telephoned a few dealers and advised them of his interest. He also